

STATE OF NEW YORK

2022--A

2025-2026 Regular Sessions

IN ASSEMBLY

January 14, 2025

Introduced by M. of A. MAHER, E. BROWN, BRABENEC, DeSTEFANO, McDONOUGH
-- read once and referred to the Committee on Local Governments --
committee discharged, bill amended, ordered reprinted as amended and
recommitted to said committee

AN ACT to amend the town law, in relation to authorizing the town of
Chester, county of Orange to establish community preservation funds;
to amend the tax law, in relation to authorizing the town of Chester
to impose a real estate transfer tax with revenues therefrom to be
deposited in said community preservation fund; and providing for the
repeal of certain provisions upon expiration thereof

The People of the State of New York, represented in Senate and Assem-
bly, do enact as follows:

1 Section 1. The town law is amended by adding a new section 64-l to
2 read as follows:

3 § 64-l. Town of Chester preservation funds. 1. As used in this
4 section, the following words and terms shall have the following mean-
5 ings:

6 (a) "Town" means the town of Chester.

7 (b) "Community preservation" shall mean and include any of the
8 purposes outlined in subdivision five of this section.

9 (c) "Board" means the advisory board required pursuant to subdivision
10 six of this section.

11 (d) "Fund" means the community preservation fund created pursuant to
12 subdivision two of this section.

13 (e) "Tax" shall mean the real estate transfer tax imposed pursuant to
14 section fourteen hundred thirty-nine-bbb of the tax law or, if the
15 context clearly indicates, shall mean the real estate transfer tax
16 imposed pursuant to article thirty-one of the tax law.

17 2. The town board of the town of Chester is authorized to establish by
18 local law a community preservation fund pursuant to the provisions of
19 this section. Deposits into the fund may include revenues of the local

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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1 government from whatever source and shall include, at a minimum, all
2 revenues from a tax imposed upon the transfer of real property interests
3 in such town pursuant to article thirty-one-A-four of the tax law. The
4 fund shall also be authorized to accept gifts of any such interests in
5 land or of funds. Interest accrued by monies deposited into the fund
6 shall be credited to the fund. In no event shall monies deposited in the
7 fund be transferred to any other account. Nothing contained in this
8 section shall be construed to prevent the financing in whole or in part,
9 pursuant to the local finance law, of any acquisition authorized pursu-
10 ant to this section. Monies from the fund may be utilized to repay any
11 indebtedness or obligations incurred pursuant to the local finance law
12 consistent with effectuating the purposes of this section.

13 3. The purposes of the fund shall be exclusively: (a) to implement a
14 plan for the preservation of community character as required by this
15 section, (b) to acquire interests or rights in real property for the
16 preservation of community character within the town including villages
17 therein in accordance with such plan and in cooperation with willing
18 sellers, (c) to establish a bank pursuant to a transfer of development
19 rights program consistent with section two hundred sixty-one-a of this
20 chapter, and (d) to provide a management and stewardship program for
21 such interests and rights consistent with subdivision ten of this
22 section and in accordance with such plan designed to preserve community
23 character. Not more than ten percent of the fund shall be utilized for
24 the management and stewardship program.

25 4. If the implementation of the community preservation project plan,
26 adopted by the town board, as provided in subdivision seven of this
27 section, has been completed, and funds are no longer needed for the
28 purposes outlined in this subdivision, then any remaining monies in the
29 fund shall be applied to reduce any bonded indebtedness or obligations
30 incurred to effectuate the purposes of this section.

31 5. Preservation of community character shall involve one or more of
32 the following:

- 33 (a) preservation of open space;
- 34 (b) establishment of parks, nature preserves, or recreation areas;
- 35 (c) preservation of land which is predominantly viable agricultural
36 land, as defined in subdivision seven of section three hundred one of
37 the agriculture and markets law, or unique and irreplaceable agricul-
38 tural land, as defined in subdivision six of section three hundred one
39 of the agriculture and markets law;
- 40 (d) preservation of lands of exceptional scenic value;
- 41 (e) preservation of freshwater marshes or other wetlands;
- 42 (f) preservation of aquifer recharge areas;
- 43 (g) preservation of undeveloped beach-lands or shoreline;
- 44 (h) establishment of wildlife refuges for the purpose of maintaining
45 native animal species diversity, including the protection of habitat
46 essential to the recovery of rare, threatened or endangered species;
- 47 (i) preservation of unique or threatened ecological areas;
- 48 (j) preservation of rivers and river areas in a natural, free-flowing
49 condition;
- 50 (k) preservation of forested land;
- 51 (l) preservation of public access to lands for public use including
52 stream rights and waterways;
- 53 (m) preservation of historic places and properties listed on the New
54 York state register of historic places and/or protected under a munici-
55 pal historic preservation ordinance or law; and

1 (n) undertaking any of the purposes of this subdivision in furtherance
2 of the establishment of a greenbelt.

3 6. The town board which has established a community preservation fund
4 shall create an advisory board to review and make recommendations on
5 proposed acquisitions of interests in real property using monies from
6 the fund. Such board shall consist of five or seven legal residents of
7 the municipality who shall serve without compensation. No member of the
8 local legislative body shall serve on the board. A majority of the
9 members of the board shall have demonstrated experience with conserva-
10 tion or land preservation activities. The board shall act in an advisory
11 capacity to the town board. At least one member of the board shall be an
12 active farmer. Board members' terms shall be staggered.

13 7. The town board which has established a community preservation fund
14 shall, by local law, adopt a community preservation project plan. Such
15 plan shall list every project which the town plans to undertake pursuant
16 to the community preservation fund. Such plan shall provide for a
17 detailed evaluation of all available land use alternatives to protect
18 community character, including but not limited to: (a) fee simple acqui-
19 sition, (b) zoning regulations, including density reductions, cluster
20 development, and site plan and design requirements, (c) transfer of
21 development rights, (d) the purchase of development rights, and (e)
22 scenic and conservation easements. Said evaluation shall be as specific
23 as practicable as to each parcel selected for inclusion in such plan.
24 Such plan shall establish the priorities for preservation, and shall
25 include the preservation of farmland as its highest priority. Funds from
26 the community preservation fund may only be expended for projects which
27 have been included in such plan. Such plan shall be updated not less
28 than once every five years, but in no event until at least three years
29 after the adoption of the original plan. A copy of such plan shall be
30 filed with the town clerk, the commissioner of environmental conserva-
31 tion, the commissioner of agriculture and markets and the commissioner
32 of the office of parks, recreation and historic preservation. Such plan
33 shall be completed at least sixty days before the submission of the
34 mandatory referendum required by section fourteen hundred thirty-nine-
35 bbb of the tax law. If at the time of referendum, the town shall have in
36 place an adopted open space plan, such plan shall be deemed sufficient
37 to waive the preservation plan requirements of this subdivision. Any
38 monies expended from the community preservation plan shall, however be
39 consistent with the purposes outlined in subdivisions three and five of
40 this section and with the open space plan for a period not to exceed
41 twelve months.

42 8. The town board which has established a community preservation fund
43 pursuant to this section may study and consider establishing a transfer
44 of development rights program to protect community character as provided
45 for by section two hundred sixty-one-a of this chapter. All provisions
46 of such section two hundred sixty-one-a shall be complied with. If at
47 any time during the life of the community preservation fund a transfer
48 of development rights program is established, the town may utilize
49 monies from the community preservation fund in order to create and fund
50 a central bank of the transfer of development rights program. If at any
51 time during the life of the community preservation fund, a transfer of
52 development rights program is repealed by the town, all monies from the
53 central bank shall be returned to the community preservation fund.

54 9. No interests or rights in real property shall be acquired pursuant
55 to this section until a public hearing is held as required by section
56 two hundred forty-seven of the general municipal law; provided, however,

1 that nothing herein shall prevent the town board from entering into a
2 conditional purchase agreement before a public hearing is held. Any
3 resolution of the town board approving an acquisition of rights or
4 interest in real property pursuant to this section, shall find that
5 acquisition was the best alternative for the protection of community
6 character of all the reasonable alternatives available to the town.

7 10. Rights or interest in real property acquired pursuant to this
8 section shall be administered and managed in a manner which (a) allows
9 public use and enjoyment in a manner compatible with the natural,
10 scenic, historic and open space character of such lands; (b) preserves
11 the native biological diversity of such lands; (c) with regard to open
12 spaces, limits improvements to enhancing access for passive use of such
13 lands such as nature trails, boardwalks, bicycle paths, and peripheral
14 parking areas provided that such improvements do not degrade the ecolog-
15 ical value of the land or threaten essential wildlife habitat; and (d)
16 preserves cultural property consistent with accepted standards for
17 historic preservation. Notwithstanding any other provision of this
18 subdivision there shall be no right to public use and enjoyment of land
19 used in conjunction with a farm operation as defined by subdivision
20 eleven of section three hundred one of the agriculture and markets law.
21 In furthering the purposes of this section, the town may enter into
22 agreements with corporations organized under the not-for-profit corpo-
23 ration law and engage in land trust activities to manage lands including
24 less than fee interests acquired pursuant to the provisions of this
25 section, provided that any such agreement shall contain a provision that
26 such corporation shall keep the lands accessible to the public unless
27 such corporation shall demonstrate to the satisfaction of the town that
28 public accessibility would be detrimental to the lands or any natural
29 resources associated therewith.

30 11. Rights or interests in real property acquired with monies from
31 such fund shall not be sold, leased, exchanged, donated, or otherwise
32 disposed of or used for other than the purposes permitted by this
33 section without the express authority of an act of the state legisla-
34 ture, which shall provide for the substitution of other lands of equal
35 environmental value and fair market value and reasonably equivalent
36 usefulness and location to those to be discontinued, sold or disposed
37 of, and such other requirements as shall be approved by the state legis-
38 lature. Any conservation easements, created under title three of article
39 forty-nine of the environmental conservation law, which are acquired
40 with monies from such fund may only be modified or extinguished as
41 provided in section 49-0307 of such law. Nothing in this section shall
42 preclude the town, by local law, from establishing additional
43 restrictions to the alienation of lands acquired pursuant to this
44 section. This subdivision shall not apply to the sale of development
45 rights by the town acquired pursuant to this section, where said sale is
46 made by a central bank created by the town, pursuant to a transfer of
47 development rights program established by the town pursuant to section
48 two hundred sixty-one-a of this chapter, provided, however that (a) the
49 lands from which said development rights were acquired shall remain
50 preserved in perpetuity by a permanent conservation easement or other
51 instrument that similarly preserves the community character referenced
52 in subdivision five of this section, and (b) the proceeds from such sale
53 shall be deposited in the community preservation fund.

54 § 2. The tax law is amended by adding a new article 31-A-4 to read as
55 follows:

ARTICLE 31-A-4TAX ON REAL ESTATE TRANSFERS IN THE TOWN OF CHESTERSection 1439-aaa. Definitions.1439-bbb. Imposition of tax.1439-ccc. Payment of tax.1439-ddd. Liability for tax.1439-eee. Exemptions.1439-fff. Credit.1439-ggg. Cooperative housing corporation transfers.1439-hhh. Designation of agents.1439-iii. Liability of recording officer.1439-jjj. Refunds.1439-kkk. Deposit and disposition of revenue.1439-lll. Judicial review.1439-mmm. Apportionment.1439-nnn. Miscellaneous.1439-ooo. Returns to be secret.1439-ppp. Foreclosure proceedings.

§ 1439-aaa. Definitions. When used in this article, unless otherwise expressly stated, the following words and terms shall have the following meanings:

1. "Person" means an individual, partnership, limited liability company, society, association, joint stock company, corporation, estate, receiver, trustee, assignee, referee or any other person acting in a fiduciary or representative capacity, whether appointed by a court or otherwise, any combination of individuals, and any other form of unincorporated enterprise owned or conducted by two or more persons.

2. "Controlling interest" means (a) in the case of a corporation, either fifty percent or more of the total combined voting power of all classes of stock of such corporation, or fifty percent or more of the capital, profits or beneficial interest in such voting stock of such corporation, and (b) in the case of a partnership, association, trust or other entity, fifty percent or more of the capital, profits or beneficial interest in such partnership, association, trust or other entity.

3. "Real property" means every estate or right, legal or equitable, present or future, vested or contingent, in lands, tenements or hereditaments, including buildings, structures and other improvements thereon, which are located in whole or in part within the town of Chester. It shall not include rights to sepulture.

4. "Consideration" means the price actually paid or required to be paid for the real property or interest therein, including payment for an option or contract to purchase real property, whether or not expressed in the deed and whether paid or required to be paid by money, property, or any other thing of value. It shall include the cancellation or discharge of an indebtedness or obligation. It shall also include the amount of any mortgage, purchase money mortgage, lien or other encumbrance, whether or not the underlying indebtedness is assumed or taken subject to.

(a) In the case of a creation of a leasehold interest or the granting of an option with use and occupancy of real property, consideration shall include, but not be limited to, the value of the rental and other payments attributable to the use and occupancy of the real property or interest therein, the value of any amount paid for an option to purchase or renew and the value of rental or other payments attributable to the exercise of any option to renew.

1 (b) In the case of a creation of a subleasehold interest, consider-
2 ation shall include, but not be limited to, the value of the sublease
3 rental payments attributable to the use and occupancy of the real prop-
4 erty, the value of any amount paid for an option to renew and the value
5 of rental or other payments attributable to the exercise of any option
6 to renew less the value of the remaining prime lease rental payments
7 required to be made.

8 (c) In the case of a controlling interest in any entity that owns real
9 property, consideration shall mean the fair market value of the real
10 property or interest therein, apportioned based on the percentage of the
11 ownership interest transferred or acquired in the entity.

12 (d) In the case of an assignment or surrender of a leasehold interest
13 or the assignment or surrender of an option or contract to purchase real
14 property, consideration shall not include the value of the remaining
15 rental payments required to be made pursuant to the terms of such lease
16 or the amount to be paid for the real property pursuant to the terms of
17 the option or contract being assigned or surrendered.

18 (e) In the case of (1) the original conveyance of shares of stock in a
19 cooperative housing corporation in connection with the grant or transfer
20 of a proprietary leasehold by the cooperative corporation or cooperative
21 plan sponsor, and (2) the subsequent conveyance by the owner thereof of
22 such stock in a cooperative housing corporation in connection with the
23 grant or transfer of a proprietary leasehold for a cooperative unit
24 other than an individual residential unit, consideration shall include a
25 proportionate share of the unpaid principal of any mortgage on the real
26 property of the cooperative housing corporation comprising the cooper-
27 ative dwelling or dwellings. Such share shall be determined by multi-
28 plying the total unpaid principal of the mortgage by a fraction, the
29 numerator of which shall be the number of shares of stock being conveyed
30 in the cooperative housing corporation in connection with the grant or
31 transfer of a proprietary leasehold and the denominator of which shall
32 be the total number of shares of stock in the cooperative housing corpo-
33 ration.

34 5. "Conveyance" means the transfer or transfers of any interest in
35 real property by any method, including but not limited to, sale,
36 exchange, assignment, surrender, mortgage foreclosure, transfer in lieu
37 of foreclosure, option, trust indenture, taking by eminent domain,
38 conveyance upon liquidation or by a receiver, or transfer or acquisition
39 of a controlling interest in any entity with an interest in real proper-
40 ty. Transfer of an interest in real property shall include the creation
41 of a leasehold or sublease only where (a) the sum of the term of the
42 lease or sublease and any options for renewal exceeds forty-nine years,
43 (b) substantial capital improvements are or may be made by or for the
44 benefit of the lessee or sublessee, and (c) the lease or sublease is for
45 substantially all of the premises constituting the real property.
46 Notwithstanding the foregoing, conveyance of real property shall not
47 include a conveyance made pursuant to devise, bequest or inheritance;
48 the creation, modification, extension, spreading, severance, consol-
49 idation, assignment, transfer, release or satisfaction of a mortgage; a
50 mortgage subordination agreement, a mortgage severance agreement, an
51 instrument given to perfect or correct a recorded mortgage; or a release
52 of lien of tax pursuant to this chapter or the internal revenue code.

53 6. "Interest in the real property" includes title in fee, a leasehold
54 interest, a beneficial interest, an encumbrance, development rights, air
55 space and air rights, or any other interest with the right to use or
56 occupancy of real property or the right to receive rents, profits or

1 other income derived from real property. It shall also include an option
2 or contract to purchase real property. It shall not include a right of
3 first refusal to purchase real property.

4 7. "Grantor" means the person making the conveyance of real property
5 or interest therein. Where the conveyance consists of a transfer or an
6 acquisition of a controlling interest in an entity with an interest in
7 real property, "grantor" means the entity with an interest in real prop-
8 erty or a shareholder or partner transferring stock or partnership
9 interest, respectively.

10 8. "Grantee" means the person who obtains real property or interest
11 therein as a result of a conveyance.

12 9. "Fund" means a community preservation fund created pursuant to
13 section sixty-four-l of the town law.

14 10. "Recording officer" means the county clerk of the county of
15 Orange.

16 11. "Town" means the town of Chester, county of Orange.

17 12. "Treasurer" means the treasurer of the county of Orange.

18 13. "Town supervisor" means the town supervisor of the town of Ches-
19 ter.

20 14. "Tax" shall mean the real estate transfer tax imposed pursuant to
21 section fourteen hundred thirty-nine-bbb of this article or, if the
22 context clearly indicates, shall mean the real estate transfer tax
23 imposed pursuant to article thirty-one of this chapter.

24 15. "Residential real property" means property which satisfies at
25 least one of the following conditions:

26 (a) the property classification code assigned to the property on the
27 latest final assessment roll, as reported on the transfer report form,
28 indicates that the property is a one, two or three family home or a
29 rural residence; or

30 (b) the transfer report indicates that the property is a one, two or
31 three family residential property that has been newly constructed on
32 vacant land; or

33 (c) the transfer report form indicates that the property is a residen-
34 tial condominium.

35 § 1439-bbb. Imposition of tax. Notwithstanding any other provisions of
36 law to the contrary, the town of Chester, acting through its town board,
37 is hereby authorized and empowered to adopt a local law imposing in such
38 town a tax on each conveyance of real property or interest therein not
39 to exceed a maximum of three-quarters of one percent of the consider-
40 ation for such conveyance, subject to the exemptions set forth in
41 section fourteen hundred thirty-nine-eee of this article; any such local
42 law shall fix the rate of such tax. Provided, however, any such local
43 law imposing, repealing or reimposing such tax shall be subject to a
44 mandatory referendum pursuant to section twenty-three of the municipal
45 home rule law. Notwithstanding the foregoing, prior to adoption of such
46 local law, the town must establish a community preservation fund pursu-
47 ant to section sixty-four-l of the town law. Revenues from such tax
48 shall be deposited in such fund and may be used solely for the purposes
49 of such fund. Such local law shall apply to any conveyance occurring on
50 or after the first day of a month to be designated by such town board,
51 which is not less than sixty days after the enactment of such local law,
52 but shall not apply to conveyances made on or after such date pursuant
53 to binding written contracts entered into prior to such date, provided
54 that the date of execution of such contract is confirmed by independent
55 evidence such as the recording of the contract, payment of a deposit or
56 other facts and circumstances as determined by the treasurer.

1 § 1439-ccc. Payment of tax. 1. The real estate transfer tax imposed
2 pursuant to this article shall be paid to the treasurer or the recording
3 officer acting as the agent of the treasurer upon designation as such
4 agent by the treasurer. Such tax shall be paid at the same time as the
5 real estate transfer tax imposed by article thirty-one of this chapter
6 is required to be paid. Such treasurer or recording officer shall
7 endorse upon each deed or instrument effecting a conveyance a receipt
8 for the amount of the tax so paid.

9 2. A return shall be required to be filed with such treasurer or
10 recording officer for purposes of the real estate transfer tax imposed
11 pursuant to this article at the same time as a return is required to be
12 filed for purposes of the real estate transfer tax imposed by article
13 thirty-one of this chapter. The treasurer shall prescribe the form of
14 return, the information which it shall contain, and the documentation
15 that shall accompany the return. Said form shall be identical to the
16 real estate transfer tax return required to be filed pursuant to section
17 fourteen hundred nine of this chapter, except that the treasurer shall
18 adapt said form to reflect the provisions in this chapter that are
19 inconsistent, different, or in addition to the provisions of article
20 thirty-one of this chapter. The real estate transfer tax returns
21 required to be filed pursuant to this section shall be preserved for
22 three years and thereafter until such treasurer or recording officer
23 orders them to be destroyed.

24 3. The recording officer shall not record an instrument effecting a
25 conveyance unless the return required by this section has been filed and
26 the tax imposed pursuant to this article shall have been paid as
27 required in this section.

28 § 1439-ddd. Liability for tax. 1. The real estate transfer tax shall
29 be paid by the grantee. If the grantee has failed to pay the tax imposed
30 pursuant to this article or if the grantee is exempt from such tax, the
31 grantor shall have the duty to pay the tax. Where the grantor has the
32 duty to pay the tax because the grantee has failed to pay the tax, such
33 tax shall be the joint and several liability of the grantee and the
34 grantor.

35 2. For the purpose of the proper administration of this article and to
36 prevent evasion of the tax hereby imposed, it shall be presumed that all
37 conveyances are subject to the tax. Where the consideration includes
38 property other than money, it shall be presumed that the consideration
39 is the fair market value of the real property or interest therein. These
40 presumptions shall prevail until the contrary is proven, and the burden
41 of proving the contrary shall be on the person liable for payment of the
42 tax.

43 § 1439-eee. Exemptions. 1. The following shall be exempt from the
44 payment of the real estate transfer tax imposed by this article:

45 (a) The state of New York, or any of its agencies, instrumentalities,
46 political subdivisions, or public corporations (including a public
47 corporation created pursuant to an agreement or compact with another
48 state or the Dominion of Canada); and

49 (b) The United Nations, the United States of America or any of its
50 agencies or instrumentalities.

51 2. The tax shall not apply to any of the following conveyances:

52 (a) Conveyances to the United Nations, the United States of America,
53 the state of New York, or any of their instrumentalities, agencies or
54 political subdivisions (or any public corporation, including a public
55 corporation created pursuant to agreement or compact with another state
56 or the Dominion of Canada);

1 (b) Conveyances which are or were used to secure a debt or other obli-
2 gation;

3 (c) Conveyances which, without additional consideration, confirm,
4 correct, modify or supplement a deed previously recorded;

5 (d) Conveyances of real property without consideration and otherwise
6 than in connection with a sale, including deeds conveying realty as bona
7 fide gifts;

8 (e) Conveyances given in connection with a tax sale;

9 (f) Conveyances to effectuate a mere change of identity or form of
10 ownership or organization where there is no change in beneficial owner-
11 ship, other than conveyances to a cooperative housing corporation of the
12 real property comprising the cooperative dwelling or dwellings;

13 (g) Conveyances which consist of a deed of partition;

14 (h) Conveyances given pursuant to the federal bankruptcy act;

15 (i) Conveyances of real property which consist of the execution of a
16 contract to sell real property without the use or occupancy of such
17 property or the granting of an option to purchase real property without
18 the use or occupancy of such property;

19 (j) Conveyances of real property or a portion or portions of real
20 property that are the subject of one or more of the following develop-
21 ment restrictions:

22 (1) agricultural, conservation, scenic, or an open space easement,

23 (2) covenants or restrictions prohibiting development where the prop-
24 erty or portion of property being conveyed has had its development
25 rights permanently removed,

26 (3) a purchase of development rights agreement where the property or
27 portion of property being conveyed has had its development rights perma-
28 nently removed,

29 (4) a transfer of development rights agreement, where the property
30 being conveyed has had its development rights removed,

31 (5) real property subject to any locally adopted land preservation
32 agreement, provided said exemption is included in the local law imposing
33 the tax authorized by this article;

34 (k) Conveyances of real property, where the property is viable agri-
35 cultural land as defined in subdivision seven of section three hundred
36 one of the agriculture and markets law and the entire property to be
37 conveyed is to be made subject to one of the development restrictions
38 provided for in subparagraph two of paragraph (j) of this subdivision
39 provided that said development restriction precludes the conversion of
40 the property to a non-agricultural use for at least eight years from the
41 date of transfer, and said development restriction is evidenced by an
42 easement, agreement, or other suitable instrument which is to be
43 conveyed to the town simultaneously with the conveyance of the real
44 property; or

45 (l) Conveyances of real property for open space, parks, or historic
46 preservation purposes to any not-for-profit tax exempt corporation oper-
47 ated for conservation, environmental, or historic preservation purposes.

48 3. An exemption of one hundred thousand dollars shall be allowed on
49 the consideration of the conveyance of improved real property or an
50 interest therein, and an exemption of fifty thousand dollars shall be
51 allowed on the consideration of the conveyance of unimproved real prop-
52 erty.

53 § 1439-fff. Credit. A grantee shall be allowed a credit against the
54 tax due on a conveyance of real property to the extent tax was paid by
55 such grantee on a prior creation of a leasehold of all or a portion of
56 the same real property or on the granting of an option or contract to

1 purchase all or a portion of the same real property by such grantee.
2 Such credit shall be computed by multiplying the tax paid on the
3 creation of the leasehold or on the granting of the option or contract
4 by a fraction, the numerator of which is the value of the consideration
5 used to compute such tax paid which is not yet due to such grantor on
6 the date of the subsequent conveyance (and which such grantor will not
7 be entitled to receive after such date), and the denominator of which is
8 the total value of the consideration used to compute such tax paid.

9 § 1439-ggg. Cooperative housing corporation transfers. 1. Notwith-
10 standing the definition of "controlling interest" contained in subdivi-
11 sion two of section fourteen hundred thirty-nine-aaa of this article or
12 anything to the contrary contained in subdivision five of section four-
13 teen hundred thirty-nine-aaa of this article, the tax imposed pursuant
14 to this article shall apply to (a) the original conveyance of shares of
15 stock in a cooperative housing corporation in connection with the grant
16 or transfer of a proprietary leasehold by the cooperative corporation or
17 cooperative plan sponsor, and (b) the subsequent conveyance of such
18 stock in a cooperative housing corporation in connection with the grant
19 or transfer of a proprietary leasehold by the owner thereof. With
20 respect to any such subsequent conveyance where the property is an indi-
21 vidual residential unit, the consideration for the interest conveyed
22 shall exclude the value of any liens on certificates of stock or other
23 evidences of an ownership interest in and a proprietary lease from a
24 corporation or partnership formed for the purpose of cooperative owner-
25 ship of residential interest in real estate remaining thereon at the
26 time of conveyance. In determining the tax on a conveyance described in
27 paragraph (a) of this subdivision, a credit shall be allowed for a
28 proportionate part of the amount of any tax paid upon the conveyance to
29 the cooperative housing corporation of the real property comprising the
30 cooperative dwelling or dwellings to the extent that such conveyance
31 effectuated a mere change of identity or form of ownership of such prop-
32 erty and not a change in the beneficial ownership of such property. The
33 amount of the credit shall be determined by multiplying the amount of
34 tax paid upon the conveyance to the cooperative housing corporation by a
35 percentage representing the extent to which such conveyance effectuated
36 a mere change of identity or form of ownership and not a change in the
37 beneficial ownership of such property, and then multiplying the result-
38 ing product by a fraction, the numerator of which shall be the number of
39 shares of stock conveyed in a transaction described in paragraph (a) of
40 this subdivision, and the denominator of which shall be the total number
41 of shares of stock of the cooperative housing corporation (including any
42 stock held by the corporation). In no event, however, shall such credit
43 reduce the tax, on a conveyance described in paragraph (a) of this
44 subdivision, below zero, nor shall any such credit be allowed for a tax
45 paid more than twenty-four months prior to the date on which occurs the
46 first in a series of conveyances of shares of stock in an offering of
47 cooperative housing corporation shares described in paragraph (a) of
48 this subdivision.

49 2. Every cooperative housing corporation shall be required to file an
50 information return with the treasurer by July fifteenth of each year
51 covering the preceding period of January first through June thirtieth
52 and by January fifteenth of each year covering the preceding period of
53 July first through December thirty-first. The return shall contain such
54 information regarding the conveyance of shares of stock in the cooper-
55 ative housing corporation as the treasurer may deem necessary, includ-
56 ing, but not limited to, the names, addresses and employee identifica-

tion numbers or social security numbers of the grantor and the grantee, the number of shares conveyed, the date of the conveyance and the consideration paid for such conveyance.

§ 1439-hhh. Designation of agents. The treasurer is authorized to designate the recording officer to act as their agent for purposes of collecting the tax authorized by this article. The treasurer shall provide for the manner in which such person may be designated as their agent subject to such terms and conditions as the treasurer shall prescribe. The real estate transfer tax shall be paid to such agent as provided in section fourteen hundred thirty-nine-ccc of this article.

§ 1439-iii. Liability of recording officer. A recording officer shall not be liable for any inaccuracy in the amount of tax imposed pursuant to this article that they shall collect so long as they shall compute and collect such tax on the amount of consideration or the value of the interest conveyed as such amounts are provided to them by the person paying the tax.

§ 1439-jjj. Refunds. Whenever the treasurer shall determine that any moneys received under the provisions of the local law enacted pursuant to this article were paid in error, they may cause such moneys to be refunded pursuant to such requirements as they may prescribe, provided that any application for such refund is filed with the treasurer within two years from the date the erroneous payment was made.

§ 1439-kkk. Deposit and disposition of revenue. 1. All taxes, penalties and interest imposed by the town under the authority of section fourteen hundred thirty-nine-bbb of this article, which are collected by the treasurer or their agents, shall be deposited in a single trust fund for the town and shall be kept in trust and separate and apart from all other monies in possession of the treasurer. Moneys in such fund shall be deposited and secured in the manner provided by section ten of the general municipal law. Pending expenditure from such fund, moneys therein may be invested in the manner provided in section eleven of the general municipal law. Any interest earned or capital gain realized on the moneys so deposited or invested shall accrue to and become part of such fund.

2. The treasurer shall retain such amount as they may determine to be necessary for refunds with respect to the tax imposed by the town, under the authority of section fourteen hundred thirty-nine-bbb of this article, out of which the treasurer shall pay any refunds of such taxes to those taxpayers entitled to a refund pursuant to the provisions of this article.

3. The treasurer, after reserving such refunds, shall on or before the twelfth day of each month pay to the town supervisor the taxes, penalties and interest imposed by the town under the authority of section fourteen hundred thirty-nine-bbb of this article, collected by the treasurer, pursuant to this article during the next preceding calendar month. The amount so payable shall be certified to the town supervisor by the treasurer, who shall not be held liable for any inaccuracy in such certification. Provided, however, any such certification may be based on such information as may be available to the treasurer at the time such certification must be made under this section. Where the amount so paid over to the town in any such distribution is more or less than the amount due to the town, the amount of the overpayment or underpayment shall be certified to the town supervisor by the treasurer, who shall not be held liable for any inaccuracy in such certification. The amount of the overpayment or underpayment shall be so certified to the town supervisor as soon after the discovery of the overpayment or under-

1 payment as reasonably possible and subsequent payments and distributions
2 by the treasurer to the town shall be adjusted by subtracting the amount
3 of any such overpayment from or by adding the amount of any such under-
4 payment to such number of subsequent payments and distributions as the
5 treasurer and town supervisor shall consider reasonable in view of the
6 overpayment or underpayment and all other facts and circumstances.

7 4. All monies received from the treasurer shall be deposited in the
8 fund of the town, pursuant to section sixty-four-1 of the town law.

9 § 1439-lll. Judicial review. 1. Any final determination of the amount
10 of any tax payable under section fourteen hundred thirty-nine-ccc of
11 this article shall be reviewable for error, illegality or unconstitu-
12 tionality or any other reason whatsoever by a proceeding under article
13 seventy-eight of the civil practice law and rules if application there-
14 for is made to the supreme court within four months after the giving of
15 the notice of such final determination, provided, however, that any such
16 proceeding under article seventy-eight of the civil practice law and
17 rules shall not be instituted unless (a) the amount of any tax sought to
18 be reviewed, with such interest and penalties thereon as may be provided
19 for by local law shall be first deposited and there is filed an under-
20 taking, issued by a surety company authorized to transact business in
21 this state and approved by the state superintendent of financial
22 services as to solvency and responsibility, in such amount as a justice
23 of the supreme court shall approve to the effect that if such proceeding
24 be dismissed or the tax confirmed the petitioner will pay all costs and
25 charges which may accrue in the prosecution of such proceeding or (b) at
26 the option of the petitioner, such undertaking may be in a sum suffi-
27 cient to cover the taxes, interest and penalties stated in such determi-
28 nation, plus the costs and charges which may accrue against it in the
29 prosecution of the proceeding, in which event the petitioner shall not
30 be required to pay such taxes, interest or penalties as a condition
31 precedent to the application.

32 2. Where any tax imposed hereunder shall have been erroneously, ille-
33 gally or unconstitutionally assessed or collected and application for
34 the refund or revision thereof duly made to the proper fiscal officer or
35 officers, and such officer or officers shall have made a determination
36 denying such refund or revision, such determination shall be reviewable
37 by a proceeding under article seventy-eight of the civil practice law
38 and rules; provided, however, that (a) such proceeding is instituted
39 within four months after the giving of the notice of such denial, (b) a
40 final determination of tax due was not previously made, and (c) an
41 undertaking is filed with the proper fiscal officer or officers in such
42 amount and with such sureties as a justice of the supreme court shall
43 approve to the effect that if such proceeding be dismissed or the tax
44 confirmed, the petitioner will pay all costs and charges which may
45 accrue in the prosecution of such proceeding.

46 § 1439-mmm. Apportionment. A local law adopted by the town of Chester,
47 pursuant to this article, shall provide for a method of apportionment
48 for determining the amount of tax due whenever the real property or
49 interest therein is situated within and without the town.

50 § 1439-nnn. Miscellaneous. A local law adopted by the town of Chester,
51 pursuant to this article, may contain such other provisions as the town
52 deems necessary for the proper administration of the tax imposed pursu-
53 ant to this article, including provisions concerning the determination
54 of tax, the imposition of interest on underpayments and overpayments and
55 the imposition of civil penalties. Such provisions shall be identical to
56 the corresponding provisions of the real estate transfer tax imposed by

1 article thirty-one of this chapter, so far as such provisions can be
2 made applicable to the tax imposed pursuant to this article.

3 § 1439-ooo. Returns to be secret. 1. Except in accordance with proper
4 judicial order or as otherwise provided by law, it shall be unlawful for
5 the treasurer or any officer or employee of the county or town, includ-
6 ing any person engaged or retained on an independent contract basis, to
7 divulge or make known in any manner the particulars set forth or
8 disclosed in any return required under a local law enacted pursuant to
9 this article. However, that nothing in this section shall prohibit the
10 recording officer from making a notation on an instrument effecting a
11 conveyance indicating the amount of tax paid. No recorded instrument
12 effecting a conveyance shall be considered a return for purposes of this
13 section.

14 2. The officers charged with the custody of such returns shall not be
15 required to produce any of them or evidence of anything contained in
16 them in any action or proceeding in any court, except on behalf of the
17 county or town in any action or proceeding involving the collection of a
18 tax due under a local law enacted pursuant to this article to which such
19 county or town is a party, or a claimant, or on behalf of any party to
20 any action or proceeding under the provisions of a local law enacted
21 pursuant to this article when the returns or facts shown thereby are
22 directly involved in such action or proceeding, in any of which events
23 the court may require the production of, and may admit in evidence, so
24 much of said returns or of the facts shown thereby, as are pertinent to
25 the action or proceeding and no more.

26 3. Nothing herein shall be construed to prohibit the delivery to a
27 grantor or grantee of an instrument effecting a conveyance or the duly
28 authorized representative of a grantor or grantee of a certified copy of
29 any return filed in connection with such instrument or to prohibit the
30 publication of statistics so classified as to prevent the identification
31 of particular returns and the items thereof, or the inspection by the
32 legal representatives of such county or town of the return of any
33 taxpayer who shall bring action to set aside or review the tax based
34 thereon.

35 4. Any officer or employee of such county or town who willfully
36 violates the provisions of this section shall be dismissed from office
37 and be incapable of holding any public office in this state for a period
38 of five years thereafter.

39 § 1439-ppp. Foreclosure proceedings. Where the conveyance consists of
40 a transfer of property made as a result of an order of the court in a
41 foreclosure proceeding ordering the sale of such property, the referee
42 or sheriff effectuating such transfer shall not be liable for any inter-
43 est or penalties that are authorized pursuant to this article or article
44 thirty-seven of this chapter.

45 § 3. Severability. If any provision of this act or the application
46 thereof shall for any reason be adjudged by any court of competent
47 jurisdiction to be invalid, such judgment shall not affect, impair, or
48 invalidate the remainder of this act, but shall be confined in its oper-
49 ation to the provision thereof directly involved in the controversy in
50 which such judgment shall have been rendered.

51 § 4. This act shall take effect immediately; provided, however, that
52 section two of this act shall take effect on the ninetieth day after it
53 shall have become a law and shall expire December 31, 2045 when upon
54 such date the provisions of such section shall be deemed repealed.